



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



01.3_Pass-Through

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EXHIBIT 01.3: RAW MATERIAL VOLATILITY MITIGATION PROTOCOL

Project: TITAN Grid (ARS Metal Industries d.o.o.)

Classification: Commodity Risk Neutralization & Margin Protection

Date: March 2026

1. STRATEGIC OVERVIEW: DE-RISKING THE SUPPLY CHAIN

Traditional industrial manufacturing faces considerable risks from fluctuations in prices on the London Metal Exchange (LME) and Steel Business Briefing (SBB). TITAN Grid has effectively neutralized this exposure. Our commercial model is based on a "**Processing Margin**" philosophy. We do not engage in steel speculation; instead, we focus on monetizing **high-precision robotic processing, Industry 4.0 efficiency, and proprietary engineering intellectual property.**

2. THE AUTOMATIC PASS-THROUGH PRICING FORMULA

All Off-take Agreements with Tier-1 global partners (Siemens, Hitachi, Schneider Electric) employ a mandatory **Indexed Pricing Model**. The Final Unit Price (\$P_u\$) is dynamic and determined at the time of Purchase Order (PO) issuance:

$$P_u = (W \times P_{\text{mkt}}) + M_{\text{fixed}}$$

Where:

- **\$W\$ (Net Weight):** A fixed quantity of certified steel per unit (Locked Bill of Materials).
- **\$P_{\text{mkt}}\$ (Market Price):** The current benchmark price for S355/S235 steel grades (Adjusted via MEPS/SBB indices).
- **\$M_{\text{fixed}}\$ (Value-Add Margin):** The established processing fee covering robotics, energy, labor, and net profit.



Risk Variable	Strategic Mitigation Protocol
Commodity Price Spike	100% Pass-Through: Any increase in raw material costs is contractually absorbed by the end-client via the indexation clause.
Inventory Devaluation	Just-In-Time (JIT) Sourcing: Steel is procured exclusively against confirmed POs, eliminating the risk of holding high-cost stock in a declining market.
Supply Chain Bottlenecks	Vertical Integration: Direct priority access to ADS Metal Industries provides a guaranteed volume channel, bypassing local middleman volatility.
Material Wastage	AI-Driven Nesting: High-frequency 30kW laser optimization reduces scrap rates to <4% , ensuring maximum yield per ton of steel.

4. Margin Stability Projection

Thanks to the SM_{fixed} mechanism, TITAN Grid’s **EBITDA Margin** remains independent of the steel market. Regardless of whether steel prices are €600/t or €1,200/t, the Value-Add Margin per unit stays consistent. This results in a **"Linear Profitability"** profile, ensuring absolute security for Senior Debt serviceability.

5. Conclusion for Lenders

TITAN Grid presents a **Commodity-Neutral Credit Profile**. By shifting 100% of raw material price risk to global Tier-1 off-takers, who have the financial stability to manage such fluctuations, we guarantee that cash flow allocated for debt service remains unaffected by external market disruptions.

Sincerely,

Danijela Đurović Keskin
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ARS Metal Industries d.o.o.




